

Real Estate Compliance & Legal Guide

Real Estate Agent OS | Fair Housing, Agency, Disclosure & Ethics

Fair Housing Act Overview

The Fair Housing Act prohibits discrimination in the sale, rental, and financing of housing based on race, color, national origin, religion, sex, familial status, and disability. Many states add additional protected classes.

- Never steer clients toward or away from neighborhoods based on demographic composition
- Use consistent selection criteria when presenting properties to all clients
- Avoid any language in listings that indicates a preference for a particular class
- Reasonable accommodations must be provided for clients with disabilities

Agency Relationships

- Seller's Agent (Listing Agent): Fiduciary duty to the seller — confidentiality, disclosure, loyalty, obedience, reasonable care
- Buyer's Agent: Fiduciary duty to the buyer — same duties applied to buyer's interests
- Dual Agency: Representing both buyer and seller in the same transaction — legal in most states with written consent, but creates conflict of interest
- Transaction Broker: Non-fiduciary, facilitates the transaction without representing either party's interests
- Always disclose your agency relationship in writing at first substantive contact

Mandatory Disclosures

- Seller disclosure: Known material defects — structural, environmental, legal, or physical issues
- Lead paint disclosure: Required for homes built before 1978
- Natural hazard disclosures: Flood zones, fire zones, earthquake zones (state-specific)
- HOA documents: CC&Rs, bylaws, financials, meeting minutes
- Death and stigma disclosures: Varies by state — research your state's requirements

Record Keeping Requirements

- Federal law requires retention of transaction records for a minimum of 3 years
- Most state licensing boards require 3-5 years of transaction file retention
- Required records: Contract, listing agreement, disclosures, correspondence, amendments, closing docs
- Electronic storage is acceptable — ensure files are backed up and accessible
- Your brokerage may have additional record retention requirements — know your brokerage policy

Code of Ethics Highlights

- Article 1: Protect and promote the interests of your client
- Article 3: Cooperate with other brokers except when cooperation is not in the client's best interest
- Article 11: Only provide services within your area of competence
- Article 12: Be honest and truthful in all real estate communications
- Article 15: Do not make false or misleading statements about other real estate professionals